



**BAKER  
HUGHES**

|                                         |         |                       |                                   |                                           |             |                                    |               |                                 |                           |                           |                                        |                     |           |              |             |                    |                     |           |  |
|-----------------------------------------|---------|-----------------------|-----------------------------------|-------------------------------------------|-------------|------------------------------------|---------------|---------------------------------|---------------------------|---------------------------|----------------------------------------|---------------------|-----------|--------------|-------------|--------------------|---------------------|-----------|--|
| Rpt Date 09/Dec/2006                    |         |                       | Well Name/No Bilabri D4           |                                           |             | Section Name/No 12-1/4" Section #3 |               |                                 | Mud System SYN-TEQ (PARA) |                           |                                        |                     |           |              |             |                    |                     |           |  |
| Job# 1                                  |         | Spud Date 09/Nov/2006 |                                   |                                           | MD 950.00 m |                                    |               | Progress 0.00 m                 |                           |                           | Present Activity Tripping              |                     |           |              |             |                    |                     |           |  |
| Operator Peak Petroleum Indust. Limited |         |                       |                                   | Company Rep James Blackmon / Chris Newton |             |                                    |               | Contractor Dolphin Drilling Ltd |                           |                           | Contractor Rep Ally Tough / Troy Nolan |                     |           |              |             |                    |                     |           |  |
| Field/Lease Bilabri                     |         |                       | Blk/Co/Parish OML - 122 / Nigeria |                                           |             |                                    | Area Offshore |                                 | Country/State Nigeria     |                           |                                        | Rig BULFORD DOLPHIN |           |              |             |                    |                     |           |  |
| Drilling Assembly                       |         |                       |                                   |                                           |             | Casing                             |               |                                 | Volumes                   | Pump Information          |                                        |                     |           |              |             |                    |                     |           |  |
| Bit Gauge in                            |         | Mfr                   |                                   | Bit Model                                 |             | OD in                              | ID in         | Depth m                         | bbl                       | Model                     |                                        | Liner in            | Stroke in | Eff %        | Vol/Stk bbl | Stk Rate SPM       | Circ Rate USgal/min |           |  |
| 12 1/4                                  |         | Baker                 |                                   | Baker Hughes                              |             |                                    | 19 1/2        | 172.50                          | Total Hole                | Continental Ensco FA-1600 |                                        | 6 1/2               | 12.00     | 97.0         | 0.1194      | 0                  |                     |           |  |
| Drill Collars                           |         |                       | Drill Pipe                        |                                           |             | 36                                 | 31 3/4        | 262.00                          | 622.7                     | Continental Ensco FA-1600 |                                        | 6 1/2               | 12.00     | 97.0         | 0.1194      | 0                  |                     |           |  |
| OD in                                   | ID in   | Length m              | OD in                             | ID in                                     | Length m    | 20                                 | 18 3/4        | 291.60                          | Active Pits               | Continental Ensco FA-1600 |                                        | 6 1/2               | 12.00     | 97.0         | 0.1194      | 0                  |                     |           |  |
| 7 15/16                                 | 2 3/4   | 9.02                  | 5                                 | 4.276                                     | 85.76       | 13 3/8                             | 12.415        | 800.00                          | 382                       |                           |                                        |                     |           |              |             |                    |                     |           |  |
| 7 13/16                                 | 2 13/16 | 63.93                 | 5                                 | 3                                         | 158.56      |                                    | 12 1/4        | 950.00                          | Tot Active                |                           |                                        |                     |           |              |             |                    |                     |           |  |
| 8                                       | 2 3/4   | 18.27                 |                                   |                                           |             |                                    |               |                                 | 1004.7                    | Circulation Times         |                                        |                     |           |              |             |                    |                     |           |  |
|                                         |         |                       |                                   |                                           |             |                                    |               |                                 | In Storage                | Surface to Bit            |                                        | min/stks            |           | Total System |             | min/stks           |                     |           |  |
|                                         |         |                       |                                   |                                           |             |                                    |               |                                 | 448                       | Bottoms Up                |                                        | min/stks            |           |              |             |                    |                     |           |  |
| Mud Properties                          |         |                       |                                   |                                           |             | Max Ann Velocity                   |               |                                 | Hole Information          |                           |                                        |                     |           |              |             |                    |                     |           |  |
| Property                                |         | Fluid Spec            |                                   | 1                                         | 2           | 3                                  | AV Riser      |                                 | ft/min                    |                           | Standpipe Pressure                     |                     | psi       |              | Water Depth |                    | 146.00 m            |           |  |
| Sample From                             |         |                       |                                   | Active Pit                                |             | Active Pit                         |               | AV Casing                       |                           | ft/min                    |                                        | Hole Flow           |           | USgal/min    |             | Riser Booster Rate |                     | USgal/min |  |
| Check Time                              |         |                       |                                   | 09:00                                     |             | 16:00                              |               | AV Open Hole                    |                           | ft/min                    |                                        | Solids Analysis     |           |              |             |                    |                     |           |  |
| MD m                                    |         |                       |                                   | 950.00                                    |             | 950.00                             |               | Vc Open Hole                    |                           | ft/min                    |                                        | Property            |           | 1            | 2           | 3                  | 4                   |           |  |
| TVD m                                   |         |                       |                                   | 950.00                                    |             | 950.00                             |               | Vc Drill Pipe                   |                           | ft/min                    |                                        | LGS %               |           | 3.03         |             | 5.00               |                     |           |  |
| Bit Depth m                             |         |                       |                                   | 600.00                                    |             | 352.00                             |               | Min Ann Velocity                |                           |                           |                                        | LGS lb/bbl          |           | 27.62        |             | 45.54              |                     |           |  |
| Density ppg                             |         | 10.00-10.50           |                                   | 9.60                                      |             | 9.60                               |               | AV Riser                        |                           | ft/min                    |                                        | HGS %               |           | 5.38         |             | 4.36               |                     |           |  |
| Funnel Visc. sec/quart                  |         |                       |                                   | 60.0                                      |             | 55.0                               |               | AV Casing                       |                           | ft/min                    |                                        | HGS lb/bbl          |           | 79.19        |             | 64.22              |                     |           |  |
| Test Temp degF                          |         |                       |                                   | 100.0                                     |             | 100.0                              |               | AV Open Hole                    |                           | ft/min                    |                                        | Avg Dens Sol sg     |           | 3.6234       |             | 3.3457             |                     |           |  |
| Rheol Temp degF                         |         |                       |                                   | 120.0                                     |             | 120.0                              |               | Bit Information                 |                           |                           |                                        |                     |           |              |             |                    |                     |           |  |
| PV cP                                   |         |                       |                                   | 22                                        |             | 22                                 |               | Size                            |                           | 12 1/4 in                 |                                        |                     |           |              |             |                    |                     |           |  |
| YP lbf/100ft^2                          |         |                       |                                   | 14                                        |             | 10                                 |               | Hours On Bit                    |                           |                           |                                        |                     |           |              |             |                    |                     |           |  |
| 10sec Gel lbf/100ft^2                   |         |                       |                                   | 8                                         |             | 7                                  |               | Bit Number                      |                           |                           |                                        |                     |           |              |             |                    |                     |           |  |
| 10min Gel lbf/100ft^2                   |         |                       |                                   | 13                                        |             | 13                                 |               | BHA Number                      |                           | 4                         |                                        | Rheology            |           |              |             |                    |                     |           |  |
| HTHP Filtrate cc                        |         |                       |                                   | 5.0                                       |             | 5.0                                |               | Depth In                        |                           | m                         |                                        | 600 RPM             |           | 58           |             | 54                 |                     |           |  |
| HTHP Cake in/32                         |         |                       |                                   | 2.0                                       |             | 2.0                                |               | Bit RPM                         |                           |                           |                                        | 300 RPM             |           | 36           |             | 32                 |                     |           |  |
| HTHP Temp degF                          |         |                       |                                   | 250.0                                     |             | 250.0                              |               | WOB                             |                           | klbf                      |                                        | 200 RPM             |           | 25           |             | 24                 |                     |           |  |
| HTHP Pressure psi                       |         |                       |                                   | 500                                       |             | 500                                |               | Nozzles                         |                           | 8x18                      |                                        | 100 RPM             |           | 17           |             | 16                 |                     |           |  |
| Retort Water %                          |         |                       |                                   | 25.0                                      |             | 24.0                               |               | Bit Hydraulics                  |                           |                           |                                        | 6 RPM               |           | 9            |             | 8                  |                     |           |  |
| Retort Base Fluid %                     |         |                       |                                   | 65.0                                      |             | 65.0                               |               | TFA                             |                           | 1.9880 in^2               |                                        | 3 RPM               |           | 7            |             | 6                  |                     |           |  |
| Retort Solids %                         |         |                       |                                   | 10.0                                      |             | 11.0                               |               | Nozzle Vel                      |                           | ft/sec                    |                                        |                     |           |              |             |                    |                     |           |  |
| Corrected Solids %                      |         |                       |                                   | 8.4                                       |             | 9.4                                |               | Bit Press Loss                  |                           | psi                       |                                        |                     |           |              |             |                    |                     |           |  |
| Oil:Water Ratio                         |         |                       |                                   | 72:28                                     |             |                                    |               |                                 |                           |                           |                                        |                     |           |              |             |                    |                     |           |  |

# ADVANTAGE Daily Drilling Fluids Report - 34



INTEQ

|                                         |  |                                           |  |                                    |  |                                        |  |
|-----------------------------------------|--|-------------------------------------------|--|------------------------------------|--|----------------------------------------|--|
| Rpt Date 09/Dec/2006                    |  | Well Name/No Bilabri D4                   |  | Section Name/No 12-1/4" Section #3 |  | Mud System SYN-TEQ (PARA)              |  |
| Job# 1                                  |  | Spud Date 09/Nov/2006                     |  | MD 950.00 m                        |  | Progress 0.00 m                        |  |
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| Field/Lease Bilabri                     |  | Blk/Co/Parish OML - 122 / Nigeria         |  | Area Offshore                      |  | Country/State Nigeria                  |  |
|                                         |  |                                           |  |                                    |  | Rig BULFORD DOLPHIN                    |  |

| Solids Control Equipment |   |     |             |              |                     |                     |          |
|--------------------------|---|-----|-------------|--------------|---------------------|---------------------|----------|
| Name                     | # | Mfr | Hours hours | Screen Sizes | Act Volume Lost bbl | Res Volume Lost bbl | Comments |
| CENTRIFUGE               | 1 |     | 0.0         |              | 0.0                 | 0.0                 |          |
| CENTRIFUGE               | 2 |     | 0.0         |              | 0.0                 | 0.0                 |          |
| DESANDER                 | 1 |     | 0.0         |              | 0.0                 | 0.0                 |          |
| DESILTER                 | 1 |     | 0.0         |              | 0.0                 | 0.0                 |          |
| MUD CLEANER              | 1 |     | 0.0         | 175, 210     | 0.0                 | 0.0                 |          |
| SHALE SHAKER             | 1 |     | 0.0         |              | 0.0                 | 0.0                 |          |
| SHALE SHAKER             | 1 |     | 0.0         | 3 x 175      | 0.0                 | 0.0                 |          |
| SHALE SHAKER             | 2 |     | 0.0         |              | 0.0                 | 0.0                 |          |
| SHALE SHAKER             | 2 |     | 0.0         | 3 x 110      | 0.0                 | 0.0                 |          |
| SHALE SHAKER             | 3 |     | 0.0         | 3 x 175      | 0.0                 | 0.0                 |          |
| SHALE SHAKER             | 3 |     | 0.0         |              | 0.0                 | 0.0                 |          |
| Total Volume Lost        |   |     |             |              | 0                   | 0                   |          |

| Volumes       |                  |              |     |                      |                 |        |                     |
|---------------|------------------|--------------|-----|----------------------|-----------------|--------|---------------------|
| Additions bbl |                  | Losses bbl   |     | Total Volumes bbl    |                 |        |                     |
| Mud Added     | Weight Materials | Downhole     | 497 | Left In Pit          | Starting Volume | 1868.1 | Riser w/o Pipe      |
| Brine         | Water            | Cased Off    |     | Trip Losses          | Daily Additions | 82     | Casing w/o Pipe     |
| Base Fluid    | Product          | Left In Hole |     | Injected             | Daily Losses    | 497    | Open Hole w/o Pipe  |
| Recycled      | Other            | Discharged   |     | Spill To Environment | Ending Volume   | 1453.1 | String Displacement |
|               |                  | SCE          |     | Onshore Disposal     | Net Change      | -415.0 | String Capacity     |
|               |                  | Evaporation  |     | Returned             |                 |        | Total Hole w/ Pipe  |
|               |                  | Other Losses |     |                      |                 |        | Total Active        |
|               |                  |              |     |                      |                 |        | Total Reserve       |

| IADC Hours    |   |          |   |           |   |                |   |
|---------------|---|----------|---|-----------|---|----------------|---|
| Wait          | 4 | Tripping | 8 | Cementing | 2 | Wait on Cement | 6 |
| Miscellaneous | 4 |          |   |           |   |                |   |

| Primary Currency USD   |           | Secondary Currency     |      | Totals USD            |           |
|------------------------|-----------|------------------------|------|-----------------------|-----------|
| Daily Product Cost     | 22960.00  | Daily Product Cost     | 0.00 | Primary Product       | 300921.11 |
| Daily Tax              | 0.00      | Daily Tax              | 0.00 | Secondary Product     | 0.00      |
| Debit/Credit           | 0.00      | Debit/Credit           | 0.00 | Primary Engineering   | 41006.25  |
| Daily Engineering Cost | 1350.00   | Daily Engineering Cost |      | Secondary Engineering | 0.00      |
| Total Daily Cost       | 24310.00  | Total Daily Cost       | 0.00 | Primary Total         | 341927.36 |
| Total Inventory Value  | 471086.09 | Total Inventory Value  | 0.00 | Secondary Total       | 0.00      |
|                        |           |                        |      | Deck Load             | 650838 lb |

| Products and Services    |          |       |                |          |          |      |           |         |                |                |                                     |                                      |  |
|--------------------------|----------|-------|----------------|----------|----------|------|-----------|---------|----------------|----------------|-------------------------------------|--------------------------------------|--|
| Product                  | Units    | Start | Transferred In | Received | Returned | Lost | Daily Use | Final   | Unit Price USD | Daily Cost USD | Active Ending Concentrations lb/bbl | Reserve Ending Concentrations lb/bbl |  |
| Bulk                     |          |       |                |          |          |      |           |         |                |                |                                     |                                      |  |
| MIL-BAR                  | 1000 kg  | 145   |                |          |          |      |           | 145     | 540.00         |                | 83.21                               | 103.03                               |  |
| Oil Based Product        |          |       |                |          |          |      |           |         |                |                |                                     |                                      |  |
| CARBO-GEL                | 25 kg    | 43    |                |          |          |      | 43        | 264.28  |                |                | 0.76                                |                                      |  |
| MIL-LIME                 | 25 kg    | 5     |                |          |          |      | 5         | 34.25   |                |                | 1.43                                |                                      |  |
| OMNI-COTE                | 55 USgal | 4     |                |          |          |      | 4         | 2150.00 |                |                |                                     |                                      |  |
| OMNI-MUL                 | 55 USgal | 12    |                |          |          |      | 12        | 995.06  |                |                | 1.47                                | 0.68                                 |  |
| OMNI-PLEX                | 55 USgal | 8     |                |          |          |      | 8         | 1618.95 |                |                | 0.78                                | 0.34                                 |  |
| OMNI-TEC                 | 55 USgal | 12    |                |          |          |      | 12        | 925.00  |                |                | 0.78                                | 0.36                                 |  |
| PARA-TEQ                 | 1 bbl    | 1110  |                |          |          |      | 82        | 1028    | 280.00         | 22960.00       |                                     |                                      |  |
| SYN-TEQ (PARA)           | 1 bbl    |       |                |          |          |      |           |         |                |                |                                     |                                      |  |
| Water Based Product      |          |       |                |          |          |      |           |         |                |                |                                     |                                      |  |
| CAUSTIC SODA             | 25 kg    | 32    |                |          |          |      | 32        | 37.89   |                |                |                                     |                                      |  |
| MIL-GUAR                 | 25 kg    | 50    |                |          |          |      | 50        | 135.00  |                |                | 0.53                                | 0.66                                 |  |
| SOLUFLAKE                | 25 kg    |       |                |          |          |      |           | 57.24   |                |                | 1.64                                |                                      |  |
| Xanthan Gum              | 25 kg    | 40    |                |          |          |      | 40        | 345.22  |                |                | 0.91                                | 1.13                                 |  |
| XCIDE 102                | 55 USgal | 1     |                |          |          |      | 1         | 2508.30 |                |                | 0.01                                | 0.01                                 |  |
| LCM                      |          |       |                |          |          |      |           |         |                |                |                                     |                                      |  |
| CALCIUM CARBONATE - FINE | 25 kg    | 120   |                |          |          |      | 120       | 22.68   |                |                | 0.71                                |                                      |  |
| CALCIUM CARBONATE - MED  | 25 kg    | 80    |                |          |          |      | 80        | 22.68   |                |                | 2.45                                | 2.15                                 |  |
| KWIKSEAL - MEDIUM        | 25 kg    |       |                |          |          |      |           | 70.52   |                |                | 1.33                                |                                      |  |
| MIL-PLUG FINE            | 25 kg    |       |                |          |          |      |           | 27.01   |                |                | 1.15                                |                                      |  |
| Other                    |          |       |                |          |          |      |           |         |                |                |                                     |                                      |  |
| BLACK MAGIC SF T         | 25 kg    | 120   |                |          |          |      | 120       | 117.25  |                |                |                                     |                                      |  |
| CALCIUM CHLORIDE (97%)   | 25 kg    | 240   |                |          |          |      | 240       | 23.21   |                |                | 2.72                                | 0.89                                 |  |
| SAW DUST                 | 25 kg    | 29    |                |          |          |      | 29        | 12.50   |                |                |                                     |                                      |  |

|                             |                  |           |                 |               |              |                 |                 |        |
|-----------------------------|------------------|-----------|-----------------|---------------|--------------|-----------------|-----------------|--------|
| BHDF Fluids Rep             | BHDF Rep Phone   | Warehouse | Warehouse Phone | Coordinator   | Daily Cost   | Cumulative Cost | Inventory Value | Page 2 |
| Jerry Laydoo / Ayo Okomayin | 234-803-402-0440 | Onne      | 234-84-462609   | Lawson Ogaree | 24310.00 USD | 341927.36 USD   | 471086.09 USD   |        |

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.